UNIVERSITY OF THE PUNJAB

B.S. 4 Years Program / Sixth Semester – Spring 2022

Roll No. ....

Paper: Managerial Economics

Course Code: ECON-413 Time: 3 Hrs. Marks: 60

THE ANSWERS MUST BE ATTEMPTED ON THE ANSWER SHEET PROVIDED

Q.1. Answer the following short questions: (6x5=30)

i. How is managerial economics useful? What are the constraints and limitations of theory of the firm?
ii. Why is firm's demand curve horizontal in perfectly competitive markets?
iii. From a social standpoint, what is the problem with monopoly?
iv. Briefly explain the degrees of price discrimination.
v. What are relations among historical costs, current costs and opportunity costs?
vi. What is Price Elasticity demand. Explain with an example.

Q.2. Answer the following questions. (3x10=30)

i. What is Delphi method? Describe its advantages and disadvantages.

ii. New England Textiles, Inc; is medium sized manufacturer of blue denim that sells in a market for which it is perfectly competitive. The total cost function for this product is described by the following relations:
TC= \$25,000+\$1Q+\$0.000008Q^2
MC=\$1+\$0.0000160
Where Q is square yards of blue denim product per month.

a) Derive the firm's supply curve (5)
b) Derive the industry supply curve if new England textiles is one of 500 companies. (2.5)
c) Calculate industry supply per month at a market price of \$2 per square yards. (2.5)

iii. What is demand estimation? How demand is estimated through regression analysis? Explain its merits and demerits.